Satellogic Inc. (NASDAQ: SATL)

Independent Equity Research Report

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Analysis as of October 12, 2026, 07:30 ET / 20:30 KST
Investment Horizon: Long term; 12-24-month execution review
Reference Share Price: USD 5.15 - October 9, 2026 U.S. regular-session close
Ownership disclosure: As of October 12, 2026, the author holds 210 shares of Satellogic Inc. (NASDAQ: SATL).

1. Executive Summary

At the $5.15 reference price, I do not recommend initiating a position in Satellogic. For existing holders, the findings support reviewing position size and considering reduced exposure. Conditional Bear, Base, and Bull intrinsic values are approximately $0.28, $0.46, and $1.88 per share, respectively; even the Bull estimate is 63.5% below the reference price. This assessment reflects value and risk under the report's assumptions. The estimates are present values at the report cutoff, not future price targets or near-term share-price forecasts.

Satellogic combines satellite design, manufacturing, operations, and imagery processing within a vertically integrated structure.[1] My positive assessment of its long-term business opportunity rests on the potential to expand observation capacity efficiently and serve persistent demand from defense and intelligence customers. Sovereign satellite contracts provide another commercial channel, while Merlin could broaden the offering from monitoring selected locations to detecting changes across larger areas. Partnerships with analytics providers offer routes to integrate its data into customer workflows.[2]

Recent results provide evidence of commercial progress. In the second quarter of 2026, revenue reached approximately $15.9 million, and operating income was $266,000, equivalent to a margin of approximately 1.7%. Space Systems accounted for roughly 55% of revenue, highlighting the influence of satellite delivery timing. Remaining performance obligations totaled approximately $80.7 million at June 30, 2026, although their contribution to profit and cash depends on delivery costs and collection.[3]

The valuation remains constrained by operating losses and investment requirements. Base-case operating enterprise value is negative $16.1 million; positive equity value arises after adding estimated cash and nonoperating assets and deducting liabilities and other financial claims. The resulting value therefore depends heavily on balance-sheet resources as well as future operating performance. Those resources must also support expenditure before the business generates sustained cash flow.

Deployment delays, uneven satellite sales, financing constraints, and dilution remain risks. Cost advantages are unverified on a comparable service basis.[4] A more favorable assessment requires evidence of stronger service growth, margins, or capital efficiency reflected in the model.

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[1] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business."
[2] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026; *Investor Presentation*, Sept. 2026.
[3] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, statements of operations and Notes 4-5; "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026.
[4] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1A; *Form 10-Q*, quarter ended 30 June 2026, convertible-note and at-the-market offering disclosures. Relative cost advantage is the author's assessment.

2. Business Overview

2.1 Company Overview

Satellogic provides high-resolution Earth observation imagery and satellite capabilities to government, defense, intelligence, and commercial customers. Its role is to help customers observe locations over time and use that information to support decisions. For defense and intelligence users, repeated observation supports situational awareness and the identification of changes within areas of interest. Government customers can obtain observation services or purchase satellites to develop sovereign Earth observation capabilities. The company identifies government and defense and intelligence customers as the principal focus of its near-term revenue strategy.[5]

Recent contracts illustrate these two forms of demand. In its second-quarter 2026 results, Satellogic announced a one-year agreement worth more than $18 million with an international defense customer for persistent, high-frequency imagery, alongside a $12 million agreement to deliver an in-orbit satellite to a sovereign defense customer. Portugal's CEiiA program provides a named example of demand for satellite ownership: the company reported delivering the first satellite under an $18 million, two-satellite program.[6]

Commercial applications offer a broader expansion opportunity. Satellogic identifies agriculture, forestry, energy, financial services, and cartography among its longer-term target markets. These applications extend the potential uses of its observation data, while government and defense demand remains the starting point for assessing its current business.[7]

2.2 Revenue Model

Satellogic generates revenue through two business lines: Data & Analytics and Space Systems. Data & Analytics includes imagery sales, observation services, and Constellation-as-a-Service (CaaS), which gives customers access to observation capacity. Revenue from individual imagery sales is recognized when imagery is delivered or made available; subscription revenue is recognized over time as contractual services are provided. These arrangements can support ongoing customer relationships, but the business line should not be treated as entirely recurring revenue.[8]

Space Systems generates revenue from satellite sales and related services. Sales can involve newly manufactured satellites or satellites already in orbit. Satellite revenue is generally recognized when control and ownership transfer to the customer, while distinct training and integration services are typically recognized over time. This makes quarterly revenue sensitive to delivery schedules and contract terms.[9]

Both models are already generating revenue. In the second quarter of 2026, Data & Analytics, including CaaS, contributed approximately $7.1 million, while Space Systems contributed $8.8 million.[10] Sustained profitability requires these revenues to cover delivery costs, satellite depreciation, engineering, and corporate overhead. The financial analysis will assess whether growth is translating into durable earnings and cash generation.

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[5] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," sections "Existing High-Resolution EO Market (Government and D&I)," "Sales and Marketing," and "Customers."
[6] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026, section "Second Quarter 2026 Highlights" and management commentary.
[7] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," section "Commercial Applications."
[8] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 2 and 4.
[9] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2, "Product Revenue-Satellite Sales."
[10] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," section "Financial Results for the Three Months Ended June 30, 2026."

2.3 Operating Structure

Satellogic integrates satellite design, manufacturing, assembly, testing, in-orbit operations, and imagery-processing software within its own organization. It designs core systems and components, manufactures many components internally, and assembles and tests satellites at its facilities. External suppliers manufacture certain components to company specifications, while third parties provide launch services and much of the ground-station, processing, and storage infrastructure. The operating model therefore combines internal control over core technology with external infrastructure.[11]

This structure connects engineering, production, and service delivery. Experience from satellite operations can inform subsequent designs, while imagery-processing software supports the delivery of customer products. I view this coordination as a foundation for improving performance and costs through successive satellite generations. Its economic value depends on reliable service delivery and sufficient demand to support manufacturing, engineering, and operating expenses.[12]

Onboard AI adds processing capability closer to the point of observation. The company describes its Persistent Global Intelligence (PGI) infrastructure as combining existing high-resolution satellites, on-satellite AI, and the forthcoming Merlin constellation. Merlin is designed to detect changes across broad areas and trigger additional high-resolution imagery collection. This architecture extends the company's imagery services toward detection and monitoring; it does not establish that every satellite processes all imagery in orbit or transmits only analytical results. As of the report's October 12, 2026 cutoff, Merlin's planned capabilities should be distinguished from demonstrated operating performance.[13]

[11] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," sections "Operations," "Customers," "Launch Providers," "Ground Station and Cloud Storage Infrastructure," and "Satellites and Technology."
[12] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," section "Operations," and Item 1A, "Risk Factors." The assessment of coordination benefits is the author's analysis.
[13] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Item 2, "Management's Discussion and Analysis of Financial Condition and Results of Operations," discussion of Aleph Observer, Merlin, and Persistent Earth Monitoring Contracts and Strategic Collaborations.

3. Industry & Competition

3.1 Industry Overview

Earth observation is a growing market for data and services that help governments and businesses monitor changes on the ground. In its 2026 EU Space Market Report, the European Union Agency for the Space Programme (EUSPA) estimates that Earth observation market revenue will increase from €3.5 billion in 2024 to €7.9 billion by 2034. This is an industry forecast covering a broad range of applications, rather than a measure of Satellogic's directly addressable market. EUSPA identifies climate change, geopolitical instability, and urbanisation as forces increasing the importance of space-based information for security, disaster response, environmental monitoring, and infrastructure management.[14]

For this report, the most relevant demand is for repeated observation that supports ongoing decisions. Defense and intelligence customers need to identify changes within areas of interest, while government and commercial users monitor assets, land, and infrastructure. I view the frequency and usefulness of that information as central to the industry's business case: customers have a stronger reason to renew services when observation becomes part of their regular operations.

Different sensing technologies serve different needs. Optical imagery can provide visually interpretable detail, but cloud cover can obstruct observation. Synthetic aperture radar (SAR) uses radar signals to collect data through clouds and at night, providing an alternative or complementary source of information.[15] Customers therefore evaluate more than nominal image resolution. Coverage, revisit frequency, delivery speed, reliability, and cost all influence whether a service meets their requirements. My assessment of Satellogic will focus on its ability to deliver useful observations reliably and economically within this competitive market.

[14] European Union Agency for the Space Programme (EUSPA), "EUSPA Launches New EU Space Market Report," 26 May 2026.
[15] ICEYE, "SAR Data," technical reference.

3.2 Competitive Landscape

Satellogic competes with providers offering different combinations of imagery, monitoring, analytics, and satellite services. Planet Labs, BlackSky, and Vantor are relevant comparisons for optical observation, while ICEYE illustrates competition from radar-based sensing. These companies form a business comparison group; they are not necessarily interchangeable peers for valuation.

Table 1. Competitive Landscape

Company	Products & Observation Approach	Customers & Use Cases	Relevance to Satellogic
Planet Labs[16]	Broad-area daily imagery, high-resolution tasking, analytics, and satellite services.	Government, intelligence, agriculture, forestry, and other commercial users.	A benchmark for observation scale, customer relationships, and the combination of data services with sovereign satellite capabilities.
BlackSky[17]	Frequent monitoring of selected locations, Gen-3 35cm-class imagery, and the Spectra tasking and analytics platform.	Government and intelligence users monitoring strategic locations, assets, and activity.	Competes for customers requiring timely imagery and analysis of changes at locations of interest.
Vantor[18]	WorldView optical imagery, including 30cm-class WorldView Legion imagery, combined with spatial intelligence products and software.	Defense, intelligence, government, and commercial users requiring detailed imagery and geospatial information.	Provides a comparison for image detail, collection capability, and integration into customer workflows.
ICEYE[19]	Synthetic aperture radar imagery, enabling collection through clouds and at night.	Users requiring observation when cloud cover or darkness limits optical collection.	Offers an alternative or complementary sensing approach, highlighting the limits of an optical-only service.

Competition and collaboration can coexist. Satellogic's distribution agreement with Vantor covers U.S. government defense and intelligence agencies and selected international defense and intelligence partners. Vantor is therefore both a relevant competitor and a channel through which Satellogic can reach customers.[20]

The comparison shows why I do not treat AI-enabled analysis or persistent monitoring alone as a distinctive advantage. Competitors also combine observation with analytics and customer delivery platforms. My investment case rests on Satellogic's ability to provide the required observation capability at an attractive total cost and convert that offering into repeat purchases and sustainable cash flow. Product specifications establish what a provider offers; contract retention and financial performance establish whether the offering creates a durable business.

[16] Planet Labs PBC, "Planet Reports Financial Results for Second Quarter of Fiscal Year 2027," 3 Sept. 2026.
[17] BlackSky Technology Inc., "BlackSky Successfully Commissions Gen-3 in Less Than One Week Opening Gen-3 General Availability for Global Customer Base," 12 Mar. 2026.
[18] Vantor, "Vantor Expands Satellite Constellation With Vantage and Pulse," 9 Apr. 2026; discussion of WorldView Legion and Tensorglobe.
[19] ICEYE, "SAR Data."
[20] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," section "Customers."

3.3 Satellogic's Positioning

Satellogic's positioning centers on expanding access to optical observation through its cost-focused operating model. Its vertically integrated structure gives the company control over core engineering, manufacturing, and operations, supporting its strategy of reducing satellite production and deployment costs.[21] I view this approach as relevant to customers requiring repeated observation within constrained budgets. The competitive opportunity is to deliver the required information economically while maintaining performance and reliability. Lower satellite construction costs alone do not establish a lower total cost of service relative to competitors.

A second opportunity is sovereign Earth observation capability. Satellogic offers observation services alongside satellite sales and support for customers developing their own operating capabilities.[22] This allows it to address different requirements for data access, asset ownership, and operational control. I see this flexibility as valuable for governments building observation capacity, although sovereign satellite services are also part of competitors' offerings. Satellogic must win these contracts through the combination of capability, implementation, support, and price.

The company's smaller business scale makes execution particularly important. It remains dependent on a limited number of customers, while maintaining manufacturing and operating capabilities requires continued resources.[23] Satellite performance, deployment schedules, and service reliability affect its ability to fulfill contracts and earn repeat business. Expanding observation capacity creates value only when customer demand supports the associated operating costs and reinvestment.

I assess Satellogic's position positively because its cost strategy and sovereign capability offering address concrete government and defense requirements. The strongest evidence of a durable competitive position will be customers expanding their use of its services, renewing contracts, and generating sufficient revenue to support the constellation after reinvestment. These outcomes would show that the company's operating model is creating lasting commercial value.

[21] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," sections "Operations" and "Satellites and Technology."
[22] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Item 2, discussion of the Space Systems business and "Sale of In-Orbit Satellites."
[23] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Customers," and Item 1A, "Risk Factors."

4. Investment Thesis

4.1 Vertical Integration and Capital Efficiency

I view Satellogic's vertically integrated operating model as a foundation for expanding observation capacity with less capital. Control over core design, manufacturing, and operations gives the company a path to incorporate operating experience into successive satellite generations and coordinate improvements in performance and cost. The economic opportunity is to reduce the capital required to deliver reliable observation services, allowing customer revenue to support a larger business.

The company's NewSat Mark-V provides a concrete reference point for this strategy. In its 2025 Form 10-K, Satellogic describes an approximately $1.3 million deployment cost per satellite, including launch, alongside a mass below 50 kilograms and daily imaging capability exceeding 300,000 square kilometers at 50cm resolution. These are company-reported specifications. Imaging capacity does not represent imagery sold, and the deployment-cost disclosure does not establish a fully allocated lifetime cost or a comparable cost advantage over competitors.[24]

Satellite longevity is central to the investment case. The 2025 Form 10-K describes an expected operational satellite useful life of approximately three years, while the second-quarter 2026 financial statements apply estimated accounting useful lives of three to five years to the combined category of satellites and other equipment.[25] These disclosures do not establish that every Mark-V satellite will operate for five years. A lower initial cost creates a stronger economic benefit when satellites remain productive long enough to support customer contracts; earlier replacement would increase the capital required to maintain service capacity.

Service delivery also incurs ground-station, cloud infrastructure, and imagery-processing costs, alongside engineering and corporate expenses. The company reports satellite depreciation separately from cost of revenue.[26] Profitability must therefore be assessed after depreciation, while cash generation must account for actual investment in constellation maintenance and expansion. A decline in depreciation does not, by itself, demonstrate improved production efficiency or a lower future replacement burden.

My conviction rests on the potential for this operating model to support growth while limiting the capital required for each increment of useful observation capacity. I would strengthen that conviction if service revenue and cash generation improve while satellite reliability and reinvestment requirements remain manageable. Conversely, shorter operating lives, weak capacity utilisation, or rising replacement costs would weaken the thesis. The financial outcome I expect from successful execution is greater capacity and customer revenue without a proportionate increase in capital requirements.

[24] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Business," sections "Competitive Advantage" and "Satellites and Technology."
[25] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1A, discussion of satellite useful lives; *Form 10-Q*, quarter ended 30 June 2026, Note 8, "Property and Equipment."
[26] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Item 2, sections "Cost of Revenue, Exclusive of Depreciation," "Engineering," "Selling, General and Administrative Expenses," and "Depreciation Expense."

4.2 Defense Demand and Repeat Contracts

I view recurring observation needs in defense and intelligence as an important route to sustained demand for Satellogic's services. Monitoring changes at locations of interest requires observations over time. If the company's data becomes part of customers' regular operations, continued use can support renewals and expanded purchases. The investment opportunity is to turn initial adoption into durable customer relationships that generate revenue across multiple periods.

The strongest disclosed example of adoption is a one-year agreement worth more than $18 million with an international defense customer. In its second-quarter 2026 results, Satellogic stated that the agreement expanded from an initial trial to full-scale deployment in under six months.[27] I interpret this as evidence that a customer found sufficient operational value to commit to a larger purchase. It establishes commercial adoption, while subsequent renewals or additional orders would provide stronger evidence of lasting demand.

There is also a disclosed example of service renewal. The company's 2025 Form 10-K states that a $6 million, three-year CaaS agreement signed in September 2022 was renewed in January 2026 for an additional eleven months.[28] The disclosure does not identify the customer as a defense customer or specify the renewal value. It nevertheless demonstrates continued purchasing under an existing service relationship, supporting the broader case for repeat business.

Sovereign satellite contracts address a related demand for ownership and operational control. The $12 million agreement to transfer an in-orbit satellite to a sovereign defense customer includes support for independent command and data-processing capabilities.[29] Such transactions broaden Satellogic's commercial opportunity, but satellite sales remain sensitive to delivery timing. They should be assessed separately from the continuity of observation-service revenue.

Customer concentration makes broader adoption essential. In the second quarter of 2026, two customers, each representing more than 10% of revenue, together accounted for approximately $11.6 million of the company's $15.9 million revenue.[30] My positive view would strengthen as existing customers renew or expand purchases and new customers reduce this dependence. More predictable service demand could improve capacity utilisation and revenue visibility, but its financial value depends on delivery costs and payment collection. Repeated purchases across a broader customer base are the evidence I expect to see as this thesis develops.

[27] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," "Second Quarter 2026 and Subsequent Operational Highlights."
[28] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Customers."
[29] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," "Second Quarter 2026 and Subsequent Operational Highlights."
[30] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2, "Credit Risk Management," and condensed consolidated statements of operations.

4.3 Merlin and the Expansion of Observation Services

I view Merlin as a central growth initiative because it could expand both the geographic scope of Satellogic's observations and the services it can sell. The company designed the constellation to provide daily global remapping at one-meter resolution, extending Aleph Observer from monitoring selected locations toward detecting activity across broader regions.[31] This could help customers identify where further investigation is needed, expanding the service beyond locations they already know to monitor.

The planned architecture connects broad-area detection with detailed follow-up. Satellogic describes onboard AI processing for classification and object detection, with inter-satellite communications enabling higher-resolution observations from its broader fleet when meaningful activity is identified.[32] I see this coordination as commercially important: wide-area coverage can identify potential events, while follow-up imagery provides context for customer decisions. These remain intended capabilities, rather than demonstrated performance of a fully deployed Merlin constellation at the report's cutoff.

Merlin also supports a broader subscription proposition. The company describes a model in which customers subscribe to persistent monitoring across networks of assets or regions rather than purchasing imagery scene by scene.[33] If reliable observations become part of customers' regular workflows, this could support larger service commitments and repeat purchases. The financial benefit depends on customer adoption, pricing, and the cost of maintaining the required coverage.

Analytics and distribution partners provide routes to commercialise this capacity. Under the September 2026 agreement, SynMax's Theia platform is the exclusive channel for Merlin-derived maritime intelligence, including vessel tracking, dark-vessel identification, and sanctions-evasion monitoring.[34] I view this as a way to reach specialist customers without building every analytical product and sales channel internally. Exclusivity also makes performance dependent on the partner's execution, while the announcement alone does not establish Satellogic's resulting revenue or profitability.

My positive assessment rests on a combination of broader observational capacity, effective detection, and sustained customer demand. Deployment and commissioning must lead to reliable service delivery and contract fulfillment before the commercial thesis is established. I would strengthen my conviction as customers adopt the expanded services and revenue supports operating costs and constellation reinvestment. Persistent service delays, weak customer uptake, or investment requirements that outpace commercial progress would weaken it.

Merlin.01 and three NewSat satellites launched aboard a SpaceX Falcon 9 on October 1, 2026, U.S. local time. In an announcement published on October 2, Satellogic confirmed the successful launch, ground-station contact, and good initial subsystem health. The company stated that Merlin.01 was in its Launch and Early Orbit Phase, with payload testing and commissioning expected to begin in mid-October, and continued to target full operational capacity in the second half of 2027.[35] I regard the launch as progress toward deployment; successful commissioning and demonstrated service performance are the next milestones supporting the commercial thesis.

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[31] Satellogic Inc., "Satellogic Introduces Merlin Constellation for Daily Global Monitoring at One-Meter Resolution," 18 Mar. 2026.
[32] Satellogic Inc., "Satellogic Introduces Merlin Constellation," section "Designed for Defense-Grade Monitoring."
[33] Satellogic Inc., "Satellogic Introduces Merlin Constellation," section "A New Commercial Model for Earth Observation."
[34] Satellogic Inc., "Satellogic Announces That SynMax Will Be the Exclusive Maritime Intelligence Channel for Data from the New Merlin Constellation," 3 Sept. 2026.
[35] Satellogic Inc., "Satellogic Announces Successful Launch of First Merlin Satellite," 2 Oct. 2026.

5. Financial Analysis

Table 2. Key Financial Results
USD millions, except percentages

Metric	Q2 2025	Q2 2026	H1 2025	H1 2026
Revenue	4.440	15.919	7.827	22.026
Data & Analytics revenue, including CaaS	3.956	7.108	6.989	11.752
Space Systems revenue	0.484	8.811	0.838	10.274
Operating income / (loss)	(6.285)	0.266	(15.800)	(6.095)
Operating margin	(141.6%)	1.7%	(201.9%)	(27.7%)
GAAP net loss	(6.652)	(20.049)	(39.233)	(138.351)

Source: Satellogic Inc., Form 10-Q for the quarter ended June 30, 2026.[36] Operating margins calculated by the author using unrounded figures. Q2 and H1 refer to the three and six months ended June 30, respectively. Parentheses indicate negative amounts.

5.1 Revenue Growth and Composition

Satellogic's revenue expanded sharply in the second quarter of 2026, reaching $15.919 million compared with $4.440 million a year earlier, an increase of 258.5%. First-half revenue rose 181.4% to $22.026 million.[37] These growth rates indicate a substantial increase in commercial activity, although the small prior-year revenue base amplifies the percentage gains.

Space Systems was the principal contributor to quarterly growth. Revenue increased from $0.484 million to $8.811 million, representing 55.3% of total second-quarter revenue and approximately 72.5% of the year-over-year revenue increase. During the quarter, the company reported delivering the first satellite under Portugal's $18 million, two-satellite CEiiA program.[38] The contribution from satellite transactions makes total revenue sensitive to delivery schedules; the second-quarter result should not be extrapolated mechanically into subsequent quarters.

Data & Analytics, including CaaS, also showed meaningful growth. Second-quarter revenue increased 79.7% to $7.108 million, while first-half revenue rose 68.1% to $11.752 million. This demonstrates that growth extended beyond satellite sales. However, the business line includes individual imagery transactions as well as contractual observation services, so its revenue should not be treated as entirely recurring. Business-line reporting also differs from the financial statements' product and service categories: Space Systems can include related service revenue.[39]

[36] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated statements of operations and comprehensive loss, and Note 5, "Revenue from Contracts with Customers."
[37] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated statements of operations. Growth rates calculated by the author.
[38] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 5; "Satellogic Reports Second Quarter 2026 Financial Results," management commentary on the CEiiA program. Revenue share and growth contribution calculated by the author.
[39] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 2 and 5, and Item 2, "Revenue." Growth rates calculated by the author.

5.2 Profitability and Earnings Quality

Satellogic reported second-quarter operating income of $0.266 million, compared with an operating loss of $6.285 million a year earlier. The operating margin was approximately 1.7%, while first-half operating losses narrowed from $15.800 million to $6.095 million.[40] These results show an improvement in operating performance, although the quarterly profit provides only a small buffer against revenue fluctuations or higher costs.

Revenue growth was the main driver of the improvement. Year-over-year quarterly revenue increased by $11.479 million, exceeding the $4.928 million increase in total costs and expenses. Engineering and selling, general and administrative expenses both rose.[41] The improvement therefore reflected revenue outpacing expenditure, rather than a broad reduction in the cost base.

The composition of earnings also matters. For in-orbit satellite sales, the company records the assets' net book value as cost of revenue, reflecting depreciation recognized before the sale. Quarterly depreciation expense also declined, primarily because fewer satellites remained within their depreciable useful lives.[42] Consequently, profitability from these transactions does not establish the economics of manufacturing and replacing future satellites. With business-line profits undisclosed, the quarter also does not demonstrate that observation services alone can cover the company's operating costs.

GAAP net loss was $20.049 million in the second quarter and $138.351 million in the first half of 2026. Net expenses reported under changes in the fair value of financial instruments were $19.679 million and $132.690 million, respectively. Subtracting second-quarter amounts from first-half totals gives a first-quarter net loss of $118.302 million and financial-instrument expenses of $113.011 million.

Financial-instrument valuation changes therefore explain much of the difference between operating performance and GAAP net loss. The category also includes interest on the secured convertible notes, so it is not wholly noncash. Cash consumption should be assessed from the cash-flow statement, while settlement obligations and potential dilution remain relevant under the terms discussed in Section 6.[43]

The second-quarter operating profit does not yet establish sustainable profitability. Further evidence would require operating profits across periods with different satellite delivery schedules.

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[40] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, "Condensed Consolidated Statements of Operations and Comprehensive Loss." Operating margin calculated by the author.
[41] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Item 2, "Results of Operations—Comparison of the Three Months Ended June 30, 2026 and 2025."
[42] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2, "Segment Information," and Item 2, "Cost of Revenue, Exclusive of Depreciation" and "Depreciation Expense."
[43] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated statements of operations, Notes 13 and 15, and Item 2. First-quarter amounts calculated as first-half totals less second-quarter amounts.

5.3 Cash Flow and Reinvestment

Satellogic's improvement in operating earnings has not yet translated into positive cash flow after reinvestment. Second-quarter GAAP operating cash outflow increased to $8.630 million from $4.342 million a year earlier.[44] The quarterly operating profit therefore needs to be assessed alongside the cash required to run and develop the business.

The classification of satellite sale proceeds explains an important part of this result. Under U.S. GAAP, $8.335 million received from the sale of an in-orbit satellite was classified within investing activities. The company adds these proceeds to GAAP operating cash flow when calculating its non-GAAP Adjusted Operating Cash Flow, producing a quarterly outflow of $0.295 million.[45] This measure captures cash received from a commercial satellite transaction, but its proximity to breakeven depended heavily on that sale. It does not establish that observation services alone generated enough cash to cover operations.

Reinvestment remained a substantial cash requirement. Second-quarter purchases of property and equipment totaled $5.635 million, resulting in company-defined non-GAAP Free Cash Flow of negative $5.930 million. This measure equals GAAP operating cash flow less capital expenditures plus proceeds from in-orbit satellite sales.[46] Including the sale proceeds provides a fuller picture of cash generated by the company's business activities, while deducting capital expenditures shows that additional cash was still required after reinvestment.

The first-half comparison provides a broader perspective. Purchases of property and equipment increased from $2.689 million to $11.185 million, while company-defined Free Cash Flow improved modestly from negative $11.753 million to negative $11.322 million.[47] Maintaining a broadly similar cash deficit while increasing investment is encouraging. However, the improvement also benefited from the satellite sale, and the business has yet to demonstrate that it can consistently fund reinvestment from internally generated cash.

[44] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Item 2, "Key Performance Indicators."
[45] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026, "Liquidity and Capital Resources" and reconciliation of non-GAAP Adjusted Operating Cash Flow.
[46] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Item 2, "Non-GAAP Financial Measure Reconciliations," Free Cash Flow reconciliation.
[47] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026, reconciliation of non-GAAP Free Cash Flow for the six months ended 30 June 2026 and 2025.

5.4 Contracted Revenue and Liquidity

As of June 30, 2026, Satellogic had $80.668 million in remaining performance obligations (RPO), representing contracted revenue associated with obligations yet to be satisfied. The company expected to recognize $45.797 million within one year, $9.299 million in years one to two, $7.167 million in years two to three, and $18.405 million thereafter. Approximately 56.8% was therefore expected to become revenue within twelve months of that date.[48] This provides visibility into future commercial activity, although recognition depends on fulfilling the associated contractual obligations.

RPO does not represent guaranteed profit or an equivalent amount of future cash receipts. Customer payments can precede or follow revenue recognition, and some consideration may already have been received. Consequently, RPO should not be added to existing cash balances as available funding. The financial value of these contracts depends on delivery costs, payment terms, and collection.

Customer concentration also affects that assessment. Two major customers contributed $11.6 million of second-quarter revenue, while two customers accounted for 74% of accounts receivable at June 30.[49] These concentrations make revenue and cash flow sensitive to individual customers' purchasing and payment schedules. They do not establish collection problems, but they increase the importance of timely receipts and a broader customer base.

Cash and cash equivalents totaled $112.809 million at June 30, 2026. An additional $10.332 million of restricted cash, including non-current amounts, was pledged as contractual guarantees and should be assessed separately from general operating liquidity. First-half registered direct offerings generated $32.795 million in net cash proceeds.[50] The funding position therefore reflects equity financing as well as customer receipts, rather than internally generated cash alone.

In its August results announcement, management stated that the then-planned Merlin deployment milestones were fully funded by existing customer contracts.[51] This statement supports funding visibility for those milestones, but does not establish sufficient funding for all subsequent operations, replacement, or expansion.

[48] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Note 5, "Contract Liabilities and Remaining Performance Obligations." Percentage calculated by the author.
[49] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2, "Credit Risk Management."
[50] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2, "Cash, Cash Equivalents and Restricted Cash," and condensed consolidated statements of cash flows.
[51] Satellogic Inc., "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026, "Second Quarter 2026 and Subsequent Operational Highlights."

6. Capital Structure

Table 3. Capital Structure Overview
As of June 30, 2026. USD millions and shares in millions, as applicable.

Item	Reported amount
Class A common shares outstanding	143.125168
Class B common shares outstanding	10.582641
Total common shares outstanding	**153.707809**
Secured convertible notes — principal outstanding	$18.000
Secured convertible notes — fair-value carrying amount	$89.730
Shares issuable upon conversion of remaining note principal	15.000000
Warrants — potential shares reported in Note 12*	49.184814
Stock options outstanding	1.289979
Unvested restricted stock units	2.934730
Deferred-issuance restricted stock units	0.911719
Sponsor earnout shares — subject to vesting and forfeiture	1.775962

Source: Satellogic Inc., Form 10-Q for the quarter ended June 30, 2026.[52] Total common shares calculated by the author. Potential share counts are presented separately and should not be added mechanically to outstanding shares to determine a fully diluted valuation denominator.

**The warrant total reconciles to 33.253454 million shares underlying the warrants described in Note 6 plus 15.931360 million shares underlying the equity-classified Columbia Warrant disclosed in the 2025 Form 10-K.*

6.1 Equity Structure and Financing History

As summarized in Table 3, Satellogic had approximately 153.708 million common shares outstanding at June 30, 2026, comprising Class A and Class B shares. Class A shares carry one vote each, while Class B shares carry approximately 1.4725 votes each.[53] The distinction matters when assessing shareholder influence, since voting power does not correspond directly to the proportion of total shares held.

Recent equity offerings have provided substantial funding while increasing the share base. In October 2025, Satellogic issued approximately 27.692 million Class A shares at $3.25 each, raising $90 million in gross proceeds. In January 2026, it issued another 7.400 million shares at $4.73 each, raising $35 million before fees. During the second quarter, conversion of $12 million in secured convertible note principal added a further 10 million shares. Option exercises and RSU settlements also increased outstanding shares.[54] Unlike the cash offerings, the note conversions reduced debt principal without providing new cash to the company.

[52] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, condensed consolidated balance sheets and Notes 6, 7, 11, 12, and 15; *Form 10-K for the Year Ended December 31, 2025*, Note 4, “Reverse Recapitalization,” subsection “Columbia Warrant.”
[53] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated balance sheets; *Form 10-K for the Year Ended December 31, 2025*, Note 12, “Stockholders’ Equity.”
[54] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Note 12; *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated statements of stockholders’ equity, Note 15, and Item 2, “Liquidity and Capital Resources.”

Ownership changes also warrant attention. On May 26, 2026, Liberty Strategic Capital (SATL) Holdings, LLC sold 10 million Class A shares at $9.77 per share. Its May 28 filing reported 10 million Class A shares still held by the Liberty investor, alongside separately reported warrant interests.[55] This secondary sale provided no cash to Satellogic and did not itself increase outstanding shares. The reduction in a major backer's ordinary-share exposure is relevant to monitoring ownership and shareholder influence. The sale disclosure does not establish the investor's motivation or its assessment of Satellogic's operating outlook.

6.2 Secured Convertible Notes

As of June 30, 2026, Satellogic had $18.0 million in secured convertible note principal outstanding. The notes mature on April 12, 2028, and bear floating interest at SOFR plus 6.50%, equivalent to 10.14% at the reporting date. They are secured by substantially all company and subsidiary assets, including intellectual property, and contain restrictions on additional indebtedness, liens, distributions, and certain asset transfers.[56] These terms constrain financial flexibility while the company pursues its turnaround.

The $89.730 million fair-value carrying amount should be distinguished from outstanding principal. It reflects valuation of the instrument, including its conversion feature, rather than the ordinary maturity repayment amount. Unless previously settled or converted, principal and unpaid accrued interest become due at maturity; specified change-of-control events can trigger cash repurchase obligations linked to conversion value. Interest expense is also included within changes in the fair value of financial instruments, so that income-statement category is not exclusively non-cash remeasurement.[57]

Conversion would reduce principal repayment requirements while increasing the share base. At the $1.20 conversion price, conversion of the remaining principal would issue 15 million Class A shares. Assuming no other share-count changes, total outstanding common shares would rise from approximately 153.708 million to 168.708 million, an increase of 9.8%. An existing shareholder retaining the same number of shares would experience an approximately 8.9% reduction in their ownership percentage.[58] This principal-only scenario excludes other potential dilution.

[55] Liberty 77 Capital L.P., et al., *Schedule 13D/A*, 28 May 2026, amendment no. 2, Items 4-5.
[56] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Note 15, "Secured Convertible Notes"; *Form 10-K for the Year Ended December 31, 2025*, Note 17, "Secured Convertible Notes."
[57] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 13 and 15; *Form 10-K*, fiscal year ended 31 Dec. 2025, Note 17, including "Fair Value Option."
[58] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, condensed consolidated balance sheets and Notes 12 and 15. Conversion scenario and ownership dilution calculated by the author using unrounded share counts, assuming conversion of remaining principal at $1.20 per share and no other share-count changes.

6.3 Warrants and Other Potential Dilution

Table 4. Warrant Terms and Potential Shares

As of June 30, 2026. Shares in millions; exercise prices in USD per share.

Warrant type	Potential shares	Exercise price	Expiry
Liberty — $10 warrant	5.000000	$10.00	Feb. 10, 2027
Liberty — $15 warrant	15.000000	$15.00	Feb. 10, 2027
Liberty advisory fee warrant	2.500000	$10.00	Feb. 10, 2027
PIPE warrant	2.500000	$20.00	Jan. 25, 2027
Public, private and forward-purchase warrants	8.253454	$8.63	Jan. 25, 2027
Columbia warrant*	15.931360	$2.52*	25 years from effective date*
Total	**49.184814**	**—**	**—**

Source: Satellogic Inc., Form 10-Q for the quarter ended June 30, 2026, and 2025 Form 10-K.[59] Total potential shares calculated by the author and reconciled to Table 3. Expiry dates are subject to applicable contractual early-termination provisions.

**The Columbia exercise price is the disclosed weighted-average price. Its term ends at the earlier of 25 years from the effective date or full exercise.*

As shown in Table 4, Satellogic had warrants covering approximately 49.185 million shares at June 30, 2026. Their potential impact varies with exercise prices, remaining terms, and settlement provisions. The Liberty, PIPE, and $8.63 warrant groups expire in early 2027, while the Columbia Warrant has a substantially longer contractual term and a disclosed weighted-average exercise price of $2.52.[60] Cash exercise would increase both outstanding shares and company cash. Accordingly, the warrant count alone does not establish the timing or financial effect of dilution.

Share-based awards and contingent shares require separate treatment. The company reported approximately 1.290 million stock options outstanding, of which 1.093 million were exercisable. RSUs comprise both unvested awards and vested awards whose share issuance has been deferred. Unlike cash exercise of options, RSU issuance does not provide exercise proceeds. Approximately 1.776 million sponsor earnout shares were also subject to share-price vesting conditions and potential forfeiture.[61] These are existing issued shares with contingent restrictions; their treatment must be reconciled with the valuation share base to avoid counting them twice.

The exclusion of potential shares from diluted EPS because they were anti-dilutive during a loss-making period does not remove their economic relevance.[62] For valuation, I assess each instrument according to its exercise or vesting conditions, reflect applicable cash proceeds, and distinguish additional issuance from changes affecting existing shares. This approach connects the capital structure to my investment thesis: commercial growth and improving cash generation should be evaluated through their effect on value per share after the relevant claims are incorporated.

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[59] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Notes 6, “Warrant Liabilities,” and 12, “Net Loss Per Share”; *Form 10-K for the Year Ended December 31, 2025*, Note 4, “Reverse Recapitalization,” subsection “Columbia Warrant.”

[60] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Notes 6 and 12; *Form 10-K for the Year Ended December 31, 2025*, Note 4, “Columbia Warrant.”

[61] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 7, “Earnout Liabilities,” 11, “Stock-based Compensation,” and 12, “Net Loss Per Share.”

[62] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 12, “Net Loss Per Share.”

6.4 Implications for Shareholder Value

Satellogic's capital structure affects how growth in the business translates into value for existing shareholders. My valuation starts with outstanding common shares and assesses the debt and other claims associated with each scenario. Cash, debt, and share counts must reflect a consistent measurement date, with subsequent changes disclosed separately. This provides a basis for evaluating the turnaround through its effect on value per share.

The reference valuation uses a common-equivalent denominator comprising June 30 outstanding common shares and unvested and deferred RSU equivalents, with full vesting assumed. Remaining convertible-note principal is deducted as a straight-debt proxy, while warrants, employee options, and the conversion option are valued separately. These option claims use Black-Scholes call approximations with disclosed or proxy volatilities and remaining terms, solved consistently with the intrinsic common-share value. Their underlying shares and exercise proceeds are not added again. A separate conversion or exercise scenario would require a consistently adjusted bridge for debt, shares, and proceeds. The historical claim-count limitations and financing conventions are described in Section 10.2.

7. Valuation & Scenarios

7.1 Valuation Approach and Reference Price

This analysis estimates Satellogic's intrinsic value as of October 12, 2026, using information available by 7:30 a.m. U.S. Eastern Time (20:30 Korea Standard Time). The reference price is $5.15 per share, the October 9 closing price from the most recently completed U.S. regular trading session.[63] Valuation amounts are expressed in U.S. dollars. Financial statement inputs retain their reported measurement dates, with disclosed subsequent changes considered separately.

My primary approach is a discounted cash flow valuation of free cash flow to the firm under Bear, Base, and Bull scenarios. The forecast covers the remaining portion of 2026 and 2027-2036, followed by a terminal value based on sustainable growth, profitability, and reinvestment. The forecast horizon will be reviewed against the modeled transition to stable operations. Future cash flows are discounted to the valuation date, and capital structure adjustments follow the principles outlined in Section 6. EV/Revenue comparisons provide a supplementary check, allowing for differences in business mix, growth, margins, and investment requirements.

Separately, I assess execution over a 12-24-month horizon, with particular attention to the second half of 2027 and first half of 2028. Management targets full operational capacity for Merlin in the second half of 2027.[64] My base-case assumption is that its service-revenue contribution expands progressively thereafter, with a more meaningful full-year contribution in 2028. This is an analytical assumption to be tested against contracts, service delivery, and cash generation. The resulting intrinsic-value range represents conditional estimates of present value; the gap to the reference price does not establish when the market will recognize that value or the return investors will earn within the review period.

[63] Satellogic Inc., "Historic Price Lookup," 9 Oct. 2026: closing price of $5.15 per share; market data provided by LSEG. Accessed 12 Oct. 2026.
[64] Satellogic Inc., "Satellogic Announces Successful Launch of First Merlin Satellite," 2 Oct. 2026. Management's stated target for full operational capacity is the second half of 2027; the subsequent revenue contribution assumed in this report is the author's estimate.

7.2 Forecast Assumptions

Table 5. Key Valuation Assumptions

Forecast assumptions as of October 12, 2026.

Assumption	Bear	Base	Bull
Merlin service-revenue ramp-up	H2 2028; delayed	H2 2027; gradual	H2 2027; faster adoption
Data & Analytics revenue CAGR, 2027-2031	12.6%	23.6%	33.5%
Data & Analytics revenue CAGR, 2031-2036	4.0%	7.7%	9.7%
Space Systems revenue, 2028E (USD millions)	18.000	24.000	36.000
Operating margin, 2031E	1.1%	5.9%	25.1%
Operating margin, 2036E	5.4%	16.2%	32.8%
Retained-fleet capex, 2028E (USD millions)	10.000	24.000	36.000
New retained-fleet asset useful life (years)	5	5	5
Incremental D&A revenue / net expansion capex (x), from 2029	2.5	3.0	3.5
Replacement capex / depreciation, from 2029	100.0%	100.0%	100.0%
Operating working capital / revenue, steady state	15.0%	10.0%	8.0%
Cash tax rate, steady state	25.0%	25.0%	25.0%
WACC	14.1%	14.1%	14.1%
Terminal growth rate	2.0%	2.5%	3.0%
Terminal incremental ROIC	10.0%	15.0%	20.0%

Source: Author’s scenario assumptions and model calculations. E denotes estimates; CAGR denotes compound annual growth rate. Data & Analytics includes CaaS.

Note: Operating margins are model outputs and include depreciation and stock-based compensation. Capex covers retained-fleet expansion and replacement; customer-satellite production costs are included in Space Systems cost of revenue. The reference model assumes a three-year remaining life for the opening asset pool and five years for new assets. Construction-cohort treatment is tested separately. From 2029, replacement capex equals depreciation, with expansion investment modeled separately. Asset lives and investment-efficiency ratios are author assumptions. Terminal ROIC refers to incremental invested capital.

Table 5 summarizes the operating and valuation assumptions used in the scenarios. The forecasts reflect information available as of October 12, 2026, and distinguish reported results from management expectations and my estimates. The Base case projects revenue of $49.0 million in 2026, $61.1 million in 2027, and $76.0 million in 2028. These estimates combine existing service activity, assumed contract renewals, incremental Merlin services, and Space Systems deliveries. The $12 million sovereign satellite agreement is assigned to 2027 based on the expected early-2027 transfer, subject to contractual and regulatory milestones.[65] Contracted amounts are allocated to estimated delivery periods rather than treated as immediately recognized revenue. The 2026 forecast provides an operating reference; valuation-date cash and subsequent cash flows require a separate bridge.

Within Data & Analytics, I model Merlin's incremental contribution separately to avoid counting existing service revenue twice. The Base case assumes a gradual contribution beginning in the second half of 2027, with incremental revenue of $3 million in 2027 and $12 million in 2028. These amounts are my estimates and depend on commissioning, customer adoption, and paid service delivery. Renewal of the major defense program and additional Space Systems orders are also assumptions rather than secured future revenue. Data & Analytics growth subsequently moderates, producing Base-case revenue CAGRs of 23.6% during 2027-2031 and 7.7% during 2031-2036.

Costs reflect both service delivery and the resources required to expand the business. The Base case assumes Data & Analytics cash costs equal to 25% of revenue, with fleet depreciation modeled separately. Manufacturing and launch costs for new customer-owned satellites are included in Space Systems costs rather than duplicated as retained-fleet capital expenditure. For in-orbit sales, estimated transferred net book value is deducted from property and equipment and added back once in FCFF. Engineering and SG&A expenses include stock-based compensation, which is not added back to FCFF. Their relatively modest subsequent growth assumes operating efficiencies as revenue expands; additional staffing, processing, and customer support requirements could reduce those efficiencies.

The treatment of satellite assets requires particular care. At June 30, 2026, net property and equipment of $33.666 million included $24.876 million of construction-in-progress. The June 30, 2026 financial statements assign estimated accounting useful lives of three to five years to the combined category of satellites and other equipment.[66] The reference model uses a simplified three-year remaining life for the opening asset pool after the assumed 2027 transfer, and five years for new retained-fleet assets. The opening pool therefore combines assets at different stages of development. A separate sensitivity allocates construction assets to a commissioning cohort and begins depreciation when they are assumed to enter service. This allocation remains an estimate because the available disclosures do not establish the asset-level ownership, commissioning, and remaining-life schedule.

Capital expenditure includes both fleet expansion and replacement. The Base case assumes retained-fleet investment of $26 million in 2027 and $24 million in 2028. From 2029, net expansion investment is estimated using $3 of incremental annual Data & Analytics revenue per dollar invested, while replacement spending is linked to depreciation. These are modeling proxies rather than disclosed fleet budgets or validated satellite-level economics. Operating working capital is assumed to equal 10% of revenue, and cash taxes are calculated at 25% of positive EBIT without credit for net operating loss benefits.

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[65] Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Note 5; "Satellogic Signs $12 Million Agreement to Deliver In-Orbit NewSat Satellite to Sovereign Defense Customer," 30 Apr. 2026. Allocation of the full agreement value to 2027 is the author's estimate.

[66] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 8, "Property and Equipment." The 3-5-year range applies to "Satellites and other equipment"; the opening pool's remaining life, new-asset life, and commissioning-cohort allocation are author assumptions.

I apply a common WACC of approximately 14.1% across the business scenarios. It uses a 5.22% risk-free rate, an assumed beta of 1.8, a 5.0% equity risk premium, and target equity and debt weights of 97.5% and 2.5%. The debt-cost proxy is the June 30 convertible-note coupon of 10.14%, with no interest tax shield credited.[67] Beta, the equity risk premium, and financing weights are analytical inputs requiring sensitivity testing. Base-case terminal growth of 2.5% and a 15% return on incremental invested capital imply reinvestment of approximately 16.7% of NOPAT.[68] Terminal cash flow therefore includes the investment needed to sustain growth. I view the resulting valuation as conditional on commercially viable service growth, sufficient investment, and sustainable operating efficiency.

7.3 Bear, Base, and Bull Scenarios

Table 6. Scenario Valuation Summary
As of October 12, 2026.

Metric	Bear	Base	Bull
Enterprise value (USD millions)	(48.230)	(16.136)	244.782
Common-equivalent equity value (USD millions)	44.728	72.989	295.990
Valuation share count (millions)	157.554	157.554	157.554
Intrinsic value per share (USD)	0.28	0.46	1.88
Upside / downside versus reference price	-94.5%	-91.0%	-63.5%
First year of positive FCFF	2034	2032	2030

Source: Author’s scenario assumptions and model calculations; Satellogic SEC filings available as of October 12, 2026.

Note: Values are conditional current intrinsic-value estimates. Valuation-date cash is estimated. Equity value and the valuation share count include June 30 common shares and RSU equivalents, with full RSU vesting assumed. Warrant, option, and conversion claims are deducted separately. The model assumes restricted-cash release in December 2028, a par proxy for straight debt, and access to future equity financing at fair value with issuance costs. Percentage changes use unrounded per-share values and the $5.15 reference price. Subsequent claim-count changes are not fully reconciled.

Results use the reference asset treatment described in Section 7.2: a simplified three-year remaining life for the opening asset pool and five years for new retained-fleet assets. Construction-cohort treatment is tested separately in Section 7.4. The Bear case assumes continued operation with substantial expense reductions; it is not a liquidation scenario.

The Bear case assumes that Merlin service revenue begins to ramp in the second half of 2028, alongside weaker contract renewal or replacement and limited Space Systems growth. Continued operation requires substantial expense reductions, with annual FCFF becoming positive in 2034. The DCF produces an operating enterprise value of negative $48.230 million because discounted future operating cash flows do not offset earlier losses and investment requirements. After incorporating estimated cash, nonoperating assets, and financial claims, common-equivalent equity value is $44.728 million, or $0.28 per share, implying 94.5% downside to the $5.15 reference price. This is a constrained continuation scenario; unsuccessful restructuring or financing could produce worse outcomes.

[67] Board of Governors of the Federal Reserve System, DGS10, via FRED, 8 Oct. 2026 observation, published 9 Oct. 2026; Satellogic Inc., *Form 10-Q for the Quarterly Period Ended June 30, 2026*, Note 15. Beta, equity risk premium, and financing weights are author assumptions; the convertible-note coupon is used as a debt-cost proxy.
[68] Aswath Damodaran, “The Fundamental Determinants of Growth,” NYU Stern School of Business. Author’s calculation: terminal reinvestment rate = growth / incremental ROIC = 2.5% / 15% ≈ 16.7% of NOPAT.

The Base case assumes gradual Merlin commercialization from the second half of 2027, contributing incremental service revenue of $3 million in 2027 and $12 million in 2028. Assumed contract renewal and additional Space Systems programs support growth, while operating costs and fleet investment delay positive annual FCFF until 2032. Operating enterprise value is negative $16.136 million, and common-equivalent equity value is $72.989 million, or $0.46 per share, implying 91.0% downside. The positive equity value results from adding estimated cash and nonoperating assets to the negative operating enterprise value, then deducting debt, other liabilities, financing fees, and separately valued option claims. It therefore reflects the balance-sheet adjustments as well as the operating forecast; it does not establish a positive standalone value for the modeled operating business. The funding test indicates approximately $19.1 million of additional net equity financing to maintain the assumed cash reserve. The case depends on access to that financing on the modeled terms and illustrates how commercial growth can require substantial investment before generating value for shareholders.

The Bull case assumes faster Merlin adoption from the second half of 2027, stronger contract acquisition, and greater expansion in Space Systems. Higher revenue supports improved operating efficiency, although additional fleet investment remains necessary. Annual FCFF becomes positive in 2030, and operating enterprise value reaches $244.782 million. Common-equivalent equity value is $295.990 million, or $1.88 per share, implying 63.5% downside to the reference price. This outcome requires the stronger growth, margins, and investment efficiency specified in Table 5; it is not supported solely by successful satellite deployment.

All three modeled values remain below the $5.15 reference price. Section 7.4 tests alternative operating assumptions and asset treatment, including the conditions required to support that price.

7.4 Sensitivity Analysis and Peer Cross-Check

Table 7. Base-Case Valuation Sensitivity

As of October 12, 2026. Intrinsic value per share in USD.

WACC / g	1.5%	2.0%	2.5%	3.0%	3.5%
12.0%	0.57	0.57	0.58	0.59	0.59
13.0%	0.51	0.51	0.52	0.52	0.52
14.1%	0.46	0.46	**0.46**	0.47	0.47
15.0%	0.43	0.43	0.43	0.43	0.43
16.0%	0.40	0.40	0.40	0.40	0.40

Source: Author's scenario assumptions and model calculations.

Note: g denotes terminal growth. Base operating forecasts and terminal incremental ROIC of 15.0% are held constant; terminal reinvestment equals g / ROIC. Financial option claims and the present value of financing fees are recalculated for each combination. Cash, asset, and security-count assumptions follow Table 6. The highlighted cell reproduces the Base valuation. The 14.1% row uses an unrounded WACC of 14.118%. Values are conditional current intrinsic-value estimates, not future price targets.

Table 7A. Operating Sensitivity and Asset-Treatment Test

As of October 12, 2026. Conditional intrinsic value per share in USD.

Panel A. Service Growth and Replacement Investment

Column headings show uniform annual Data & Analytics revenue growth during 2029-2031.

Replacement capex / depreciation	30%	50%	70%	90%	110%
100%	0.75	1.58	2.64	3.94	**5.50**
80%	1.00	1.88	2.99	4.36	**5.99**
60%	1.18	2.09	3.24	4.66	**6.36**

Panel B. Opening-Asset Treatment

Treatment	Intrinsic value per share
Reference Base: aggregate opening asset pool	0.46
Separate construction cohort commissioned in 2027	0.35

Source: Author's model calculations, 12 Oct. 2026, "Operating review" worksheet.

Note: Panel A uses the reference asset treatment. Replacement ratios apply from 2029; expansion investment remains separate, with incremental service revenue / net expansion capex of 3.0×. Later Base revenue-growth and expense assumptions are retained, so higher growth also increases modeled margins. Replacement ratios below 100% assume unvalidated efficiency improvements. Panel B retains Base growth and replacement assumptions and changes the opening-asset treatment; new assets retain a five-year life. Both panels retain WACC of 14.118%, terminal growth of 2.5%, and terminal incremental ROIC of 15%. The reference Base growth rates for 2029-2031 are 25%, 22%, and 18%. These supplementary tests do not replace the reference scenarios or establish operational feasibility.

Table 8. Peer Valuation Cross-Check

As of October 12, 2026. USD millions, except share prices and multiples.

Metric	Satellogic	Planet Labs	BlackSky
Reference share price (USD)	5.15	17.18	20.92
Financial reporting date	Jun. 30, 2026	Jul. 31, 2026	Jun. 30, 2026
Approximate market EV	696.8	5,842.2	832.9
LTM revenue	31.9	378.3	108.9
EV / LTM revenue	**21.8×**	**15.4×**	**7.6×**
Annual revenue outlook	49.0	435.5	140.0
Outlook period end	Dec. 31, 2026	Jan. 31, 2027	Dec. 31, 2026
EV / annual revenue outlook	14.2×	13.4×	5.9×

Source: Company Forms 10-K and 10-Q; Planet Labs and BlackSky second-quarter earnings releases; historical share-price data; author's scenario assumptions and calculations.

Note: Reference prices are October 9, 2026 regular-session closing prices. Approximate market enterprise value (EV) equals reference price multiplied by quarter-end outstanding common shares, plus gross debt principal, less unrestricted cash, cash equivalents, and short-term investments. Planet's share count includes Class A and Class B shares; BlackSky's debt includes launch-vendor financing. Restricted cash, operating lease liabilities, and separate valuations of dilution-related claims are excluded. Quarter-end balances and share counts are proxies and are not rolled forward to the valuation date; these are not fully diluted EV estimates.

LTM denotes the latest twelve months ending on each financial reporting date. Satellogic's annual revenue outlook is the author's Base estimate; Planet Labs and BlackSky use company guidance midpoints. Outlook periods differ and do not represent a common next-twelve-month forecast. Multiples use unrounded inputs. Market EV uses a different basis from the intrinsic enterprise values in Table 6.

Table 7 shows a Base-case intrinsic value range of approximately $0.40-$0.59 per share, compared with the $0.46 Base estimate and the $5.15 reference price. The small differences across the terminal-growth columns partly reflect the narrow spread between terminal incremental ROIC of 15.0% and the reference WACC of 14.118%. Higher growth requires additional reinvestment, offsetting much of the benefit from higher operating income. Base equity value also depends substantially on cash and nonoperating asset adjustments, while rounding to two decimal places masks small valuation changes. Across the tested combinations, the gap to the reference price remains substantial, directing attention to operating performance and investment requirements.

Table 7A shows how service growth and replacement investment affect value under the retained Base assumptions. With replacement expenditure equal to depreciation, uniform annual Data & Analytics growth of 50% during 2029-2031 produces approximately $1.58 per share, rising to $2.64 at 70% growth. At 50% growth, reducing replacement expenditure to 60% of depreciation raises the estimate to approximately $2.09. Expansion investment remains modeled separately.

Some tested combinations exceed the $5.15 reference price, demonstrating that the model can support higher values under sufficiently strong operating assumptions. These results also retain the Base expense-growth paths, so faster revenue growth generates greater operating leverage and higher margins. Their credibility therefore depends on customer demand, pricing, delivery costs, staffing, and fleet capacity supporting those outcomes. Replacement savings additionally require evidence of lower costs or improved productive capacity per dollar invested.

Panel B isolates a separate asset-treatment sensitivity. Grouping construction-in-progress and estimated second-half retained-fleet investment into a commissioning cohort reduces the Base estimate from approximately $0.46 to $0.35 per share. This reflects changes in depreciation timing and subsequent replacement investment under an assumed allocation and commissioning schedule. Panel A retains the reference asset treatment, while the reverse DCF below uses the construction-cohort treatment; their results should be read with that distinction. Section 10.3 compares reverse DCF solutions under both asset treatments.

A reverse DCF illustrates more demanding combinations consistent with the $5.15 reference price. Using the construction-cohort treatment, five-year new-asset life, and unchanged discount and terminal assumptions, Data & Analytics revenue would need to grow by approximately 107% annually during 2029-2031 if replacement expenditure equals depreciation. Reducing that ratio to 80% or 60% lowers the required growth rate to approximately 101% or 97%. These combinations produce total revenue of roughly $429-495 million in 2031, equivalent to approximately 8.75-10.10 times the 2026E Base revenue estimate of $49.026 million. This 2031 revenue range is broadly comparable in scale to Planet Labs' FY2027 revenue-guidance midpoint of $435.5 million for the year ending January 31, 2027, shown in Table 8. They also retain the model's modest expense-growth assumptions, resulting in operating margins of approximately 50-55% by 2036. Lower operating margins at the same revenue and investment levels would reduce the implied value. Supporting the $5.15 reference price would then require compensating improvements in growth, capital efficiency, or other valuation assumptions. These are conditional model solutions, not forecasts or unique interpretations of market expectations. Their feasibility depends on contracted demand, pricing, fleet capacity, staffing, and customer delivery costs that the model does not independently validate.[69]

Table 8 provides a complementary market comparison. Satellogic trades at approximately 21.8× LTM revenue, compared with 15.4× for Planet Labs and 7.6× for BlackSky. Using annual revenue outlooks, the corresponding multiples are 14.2×, 13.4×, and 5.9×. Planet's outlook covers the fiscal year ending January 2027, while Satellogic and BlackSky use calendar 2026; Satellogic's figure is an author estimate, whereas the peer figures are company guidance midpoints.[70] [71] Differences in business mix, financial reporting dates, capital requirements, and dilution further limit direct comparability. On this approximate basis, Satellogic already commands a revenue multiple above both peers, so the comparison does not independently support an undervaluation conclusion.

Table 8's principal-based EV excludes separate values for conversion rights and other option claims. The principal-only conversion illustration in Section 10.3 increases Satellogic's EV/LTM revenue multiple to approximately 23.7× at the unchanged reference price. This demonstrates the importance of claim treatment, without establishing a fully diluted valuation or a revised comparison with peers.

[69] Author's calculations, *Satellogic Valuation Model*, 12 Oct. 2026, "Operating review" and "Reverse DCF" worksheets. Construction-cohort treatment and replacement-efficiency ratios are author assumptions.
[70] Planet Labs PBC, *Form 10-Q*, quarter ended 31 July 2026; "Planet Reports Financial Results for Fourth Quarter and Full Fiscal Year 2026," 19 Mar. 2026; "Planet Reports Financial Results for Second Quarter of Fiscal Year 2027," 3 Sept. 2026.
[71] BlackSky Technology Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025; *Form 10-Q*, quarter ended 30 June 2026; "BlackSky Reports Second Quarter 2026 Results," 6 Aug. 2026.

8. Catalysts & Risks

8.1 Key Catalysts and Expected Timing

Table 9. Catalyst Roadmap and Financial Transmission

Based on information available as of October 12, 2026.

Catalyst	Expected Timing / Basis	Evidence to Monitor	Path to Revenue and Cash Flow
Merlin commissioning and validation	Testing expected to begin in mid-October 2026; full operational capacity targeted for H2 2027. Company plans.	Commissioning completion, image quality, and integrated detection and follow-up performance.	Validated capacity supports customer acceptance and paid service delivery.
Sovereign satellite transfer	Early 2027, subject to contractual and regulatory milestones. Company estimate.	Required approvals, customer acceptance, and ownership and operational handover.	Allocated satellite revenue follows transfer of control; cash receipts depend on payment terms.
Defense renewals and follow-on orders	2026-2027 monitoring window. Author assessment; renewal dates are not confirmed.	Renewals, expanded orders, new customers, and continued service purchases.	Repeat demand supports capacity utilisation and service-revenue continuity.
Merlin commercialization and partner adoption	Public plans indicate 2027; gradual revenue contribution from H2 2027 is an author assumption.	Paid service commencement, customer adoption, and subsequent purchases through direct and partner channels.	Incremental Data & Analytics revenue contributes to cash generation after delivery costs and reinvestment.
Slingshot III integration and testing	On-orbit activities during 2027-2028. Company plan.	NewSat Mark VI integration, test results, and additional paid work.	Contract execution and demonstrated capabilities may support follow-on business; contract value is undisclosed.

Source: Satellogic SEC filings and company announcements; SynMax announcement; author's assessment.

Note: Dates represent disclosed plans or analytical monitoring windows, rather than assured completion dates. Technical validation, contract awards, revenue recognition, and cash collection are separate milestones. Financial outcomes depend on contractual terms, customer adoption, delivery costs, and investment requirements.

Table 9 identifies the events most relevant to testing the commercial assumptions in Section 7. The immediate Merlin catalyst is successful commissioning and operational validation. Satellogic's October 2 announcement confirmed launch, ground-station contact, and satisfactory initial subsystem health, while payload testing and commissioning were expected to begin in mid-October. Management targeted full operational capacity in the second half of 2027. These disclosures establish deployment progress; demonstrated imagery, detection, and coordinated follow-up performance are the next evidence needed to assess service readiness.[72]

[72] Satellogic Inc., "Satellogic Announces Successful Launch of First Merlin Satellite," 2 Oct. 2026; *Investor Presentation*, Sept. 2026, p. 6.

The sovereign satellite transfer provides a more specific contract-execution milestone. The $12 million agreement announced in April includes ownership and operational handover, together with support for independent command and data-processing capabilities. Completion is expected in early 2027, subject to contractual and regulatory conditions. Satellite-sale revenue generally follows transfer of control and title, while distinct support services may be recognized over time. The agreement's total value should therefore be distinguished from revenue recognized at handover and cash collected during the same period.[73]

Repeat purchases will test whether existing monitoring demand can become a durable revenue base. The one-year defense contract valued at more than $18 million demonstrates conversion from an initial trial to full-scale deployment. Its renewal, expansion, or replacement by additional customers would strengthen revenue continuity. A prior CaaS contract renewed for eleven months provides a separate example of continued purchasing. However, these disclosures do not secure subsequent renewals, and the 2026-2027 monitoring window is my assessment rather than a confirmed contractual timetable.[74]

Merlin commercialization requires operational capacity to translate into paid services. The 2025 Form 10-K identifies a $30 million multi-year AI-first services contract, with revenue expected in 2027. That contract provides an existing commercial reference, but its full value is not an annual revenue forecast.[75] SynMax's September announcement also anticipates a 2027 rollout of Merlin-derived maritime intelligence through Theia. Customer adoption and Satellogic's resulting economics remain to be demonstrated.[76] My assumption of gradual Merlin revenue contribution from the second half of 2027 remains conditional on these steps. Existing commitments and partner-related sales must be reconciled with the forecast to avoid double counting.

Slingshot III offers a further opportunity to validate connected satellite operations. The expanded IDT agreement supports integration of six new NewSat Mark VI satellites and on-orbit activities during 2027-2028. Successful testing could strengthen the case for additional customer purchases, but the announcement does not disclose contract value or establish the scale of follow-on revenue. I therefore treat this program as a supporting execution catalyst.[77] Across these opportunities, stronger valuation assumptions would require evidence of sustained purchases and cash generation after service costs and constellation reinvestment.

[73] Satellogic Inc., "Satellogic Signs $12 Million Agreement to Deliver In-Orbit NewSat Satellite to Sovereign Defense Customer," 30 Apr. 2026; *Form 10-Q*, quarter ended 30 June 2026, Note 2.
[74] Satellogic Inc., "Satellogic Secures $18 Million Contract for Persistent Earth Observation Monitoring," 26 May 2026; *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Customers."
[75] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1, "Customers."
[76] SynMax Inc., "SynMax Becomes Satellogic's Exclusive Maritime Partner, Bringing Merlin's Daily Imagery to Theia," 3 Sept. 2026.
[77] Satellogic Inc., "Satellogic Expands Slingshot III Work with IDT and U.S. Office of Naval Research," 14 Sept. 2026.

8.2 Execution and Commercialization Risks

Merlin's commercial timing depends on successful commissioning and reliable service performance. Satellogic identifies risks across production, launch, commissioning, and operations, alongside dependence on external launch and ground infrastructure. Customer contracts may also impose minimum service requirements.[78] If image quality, detection, or coordinated follow-up falls short of customer needs, further testing or remediation could delay paid services. I would then reassess the gradual Merlin revenue contribution assumed from the second half of 2027 in Section 7.

Customer adoption and contract continuity present a separate risk. Satellogic describes lengthy, unpredictable sales cycles and dependence on a limited number of customers. Government procurement processes and changing spending priorities can affect the timing and scale of purchases.[79] Trial conversion demonstrates initial adoption, while sustained demand requires subsequent purchases. If major contracts are not renewed, expanded, or replaced, service growth and capacity utilisation could weaken. Additional sales activity would then need to generate sufficient revenue to support the operating resources committed to expansion.

Partner-led commercialization also depends on execution and contractual economics. SynMax's exclusive channel for Merlin-derived maritime intelligence provides a route to specialist customers, while making that channel's performance dependent on successful product integration and sales. The announcement does not quantify minimum purchase commitments or Satellogic's revenue-sharing economics.[80] I therefore assess the partnership through paid customer adoption, revenue attributable to Satellogic, and the costs of supporting delivery. A technically successful product could still contribute less profit and cash than expected if pricing, partner terms, or processing and support costs are unfavorable.

Contract execution and payment timing can further separate commercial progress from cash generation. Delays in satisfying performance obligations or completing satellite handovers could postpone revenue recognition, while slower collection could increase working-capital requirements. At June 30, 2026, two customers accounted for 74% of accounts receivable, making receipts sensitive to individual payment schedules. That concentration does not itself establish collection problems. RPO also includes obligations for which consideration may already have been received, so its conversion into revenue does not imply an equivalent future cash inflow.[81]

Financial leadership continuity is another execution consideration. Satellogic appointed Dustin Greer as interim Chief Financial Officer effective August 21, 2026, while he also serves as principal accounting officer.[82] Continuity in these responsibilities matters as the company manages investment commitments, customer receipts, and potential financing. Monitoring should focus on permanent succession arrangements, timely financial reporting, and any disclosed changes in internal controls or responsibilities within the finance function.

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[78] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1A, satellite execution, third-party infrastructure, and minimum service requirements.
[79] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1A, customer concentration, sales cycles, and defense-related contracts.
[80] Satellogic Inc., "Satellogic Announces That SynMax Will Be the Exclusive Maritime Intelligence Channel for Data from the New Merlin Constellation," 3 Sept. 2026.
[81] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 2 and 5, credit risk, revenue recognition, and contract liabilities.
[82] Satellogic Inc., *Form 8-K*, 27 Aug. 2026, Item 5.02; *Form 8-K/A*, 9 Oct. 2026, explanatory note and Item 5.02.

8.3 Capital Requirements, Liquidity, and Dilution Risks

Satellogic's growth requires investment before the associated services generate sufficient cash. Retained-fleet expansion and replacement, customer-satellite production, infrastructure, and working capital can therefore increase funding needs alongside commercial progress. At June 30, 2026, noncancelable launch commitments totaled approximately $7.1 million through 2028, including $4.1 million for the remainder of 2026. These are dated commitments, not confirmed unpaid balances at the valuation date.[83] Their treatment must also be reconciled with forecast investment to avoid double counting. Shorter productive asset lives, higher deployment costs, or slower customer receipts would increase the cash required to support the same revenue path.

Available liquidity must be assessed against these spending requirements. The June 30 cash balance discussed in Section 5 provides a reported starting point, while valuation-date cash remains an estimate. Restricted cash pledged for contractual guarantees is assessed separately from general operating funds. Management's statement that Merlin's planned deployment milestones were funded by existing customer contracts supports execution capacity, but does not establish funding for all subsequent operations, replacement, or expansion.[84] The relevant test is whether usable cash and customer receipts can cover expenditure and obligations as they fall due, particularly when investment precedes service revenue.

Additional financing also depends on access and terms. The secured convertible notes mature in April 2028 unless previously settled or converted, are secured by substantially all company and subsidiary assets, and restrict certain additional borrowing, liens, and asset transfers. The ATM program provides a potential equity issuance route rather than committed cash.[85] These conditions affect financial flexibility if operating receipts disappoint. The future equity financing assumed in Section 7 remains conditional on obtaining funding on the modeled terms. Higher fees, less favorable issuance terms, or unavailable capital could reduce value or require investment deferrals that constrain growth.

The Base-case funding test in Section 7 identifies approximately $19.1 million of additional net equity financing relative to an assumed minimum cash reserve of $10 million. With an assumed issuance-fee rate of 4%, the corresponding gross proceeds are approximately $19.9 million. These amounts are model assumptions and outputs, rather than committed financing. The test uses annual cash-balance projections and does not independently establish sufficient liquidity at every payment date within a year. Concentrated spending, delayed receipts, or earlier obligations could therefore create funding needs that are not captured by the annual test.

The shareholder effect depends on both the funding obtained and the claims created or settled. Equity issuance supplies cash while expanding the share base; debt conversion reduces repayment obligations without providing new cash. Warrant exercise and share-based awards have different proceeds and settlement characteristics, as discussed in Section 6.[86] These effects must remain consistent with the valuation bridge, including claims already incorporated in Section 7 and subsequent changes not fully reconciled. I would lower my positive assessment if investment needs materially exceed the modeled funding capacity, usable liquidity limits service deployment, or financing becomes substantially less favorable than assumed.

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[83] Satellogic Inc., *Form 10-K*, fiscal year ended 31 Dec. 2025, Item 1A, capital requirements; *Form 10-Q*, quarter ended 30 June 2026, Note 16, launch commitments.
[84] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 2; "Satellogic Reports Second Quarter 2026 Financial Results," 5 Aug. 2026.
[85] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 15 and Item 2, ATM financing facility.
[86] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 6, 11, 12, and 15.

8.4 Monitoring Framework and Thesis Reassessment

Table 10. Risk Monitoring and Thesis Reassessment

Monitoring framework as of October 12, 2026.

Risk / Assumption	Evidence / Warning Signal	Implication for the Business Thesis	Potential Model Response
Merlin readiness and service ramp	Validated performance and paid delivery; delays or performance shortfalls against the assumed H2 2027 ramp.	Successful delivery strengthens commercial readiness; sustained delays weaken the growth timetable.	Review revenue commencement and ramp-up; distinguish technical progress from paid services.
Customer demand and contract continuity	Renewals, expanded purchases, and new customers; loss of major business without replacement.	Repeat purchases strengthen demand durability; unreplaced losses weaken revenue continuity.	Review service growth, renewal assumptions, and customer concentration.
Operating economics	Revenue growth with controlled delivery and support costs; expenses rising faster than sales.	Improving economics supports scalability; weak cost absorption reduces confidence in sustainable profitability.	Review service costs, engineering, SG&A, and sustainable operating margins.
Capital efficiency and replacement	More service revenue per investment dollar; shorter productive satellite lives or higher replacement costs.	Efficient investment strengthens the cost thesis; heavier reinvestment weakens cash generation.	Review expansion efficiency, asset lives, commissioning timing, and replacement expenditure.
Cash collection and usable liquidity	Timely receipts and sufficient usable cash; slower collection or spending ahead of receipts.	Adequate liquidity supports execution; cash constraints may limit deployment and service delivery.	Review working capital, dated cash estimates, and the timing of financing needs.
Financing terms and dilution	Funding on modeled terms; unfavorable issuance terms, greater-than-modeled claims, or constrained access.	Funding supports execution; adverse terms may reduce value per share for existing shareholders.	Reconcile proceeds, fees, financial claims, and share counts; avoid duplicate adjustments.

Source: Author’s monitoring framework, based on Sections 7 and 8.1-8.3 and the cited company disclosures.

Note: Evidence is assessed against existing schedules and model assumptions. Inconclusive evidence leaves the conditional assessment unchanged. Stronger valuation assumptions require support for revenue, costs, reinvestment, and financing effects. Operating economics are assessed after depreciation; lower depreciation alone does not establish improved cash generation. Model responses are review actions, not automatic changes.

Table 10 connects the catalysts and risks to evidence that would support maintaining, strengthening, or lowering my assessment. I would review progress through subsequent financial results and material disclosures concerning service readiness, contracts, investment, and financing. The framework sets prospective review criteria using information available at this report’s cutoff.[87] Where outcomes remain broadly consistent with existing assumptions, I would retain the conditional assessment. Incomplete disclosure would leave the relevant assumption unverified and would not support a more favorable forecast.

[87] Author’s monitoring framework and reassessment criteria, 12 Oct. 2026; see Sections 7 and 8.1-8.3.

I would strengthen my positive business assessment as validated capabilities translate into paid services, repeat purchases, and a broader customer base. Greater confidence in the valuation would additionally require evidence that this growth can support operating costs, constellation reinvestment, and value per share after financing claims. Revenue growth accompanied by manageable expenditure and timely receipts would provide stronger support than technical milestones or contract announcements alone. Improving operating margins would also need to be assessed alongside depreciation, actual replacement spending, and cash generation. These tests would determine which assumptions merit revision.

I would lower my assessment if material service delays, unreplaced contract losses, or weak customer adoption undermine the expected revenue path. Higher delivery costs, shorter productive satellite lives, or heavier replacement requirements could weaken the capital-efficiency thesis even if sales increase. Slower collection or unfavorable financing could further limit execution and shareholder outcomes. For each development, I would assess whether the effect is a temporary timing difference or a persistent change in demand, operating economics, or funding capacity, and revise the affected assumptions accordingly.

Model revisions should reflect these relationships together. Stronger service growth may require additional capacity, staffing, processing, and working capital, while financing changes must reconcile proceeds, fees, financial claims, and share counts. The sensitivities and reverse DCF in Section 7 provide reference points for evaluating such combinations, rather than prescribed forecasts. Any subsequent reassessment would identify the new evidence, its measurement date, and the assumptions changed. A stronger business outlook would support reviewing intrinsic value; the attractiveness of the shares would still require a separate comparison with market price.

9. Conclusion & Monitoring

9.1 Overall Investment Assessment

At the $5.15 reference price, I do not recommend initiating a position in Satellogic under the evidence and assumptions assessed in this report. Section 7 estimates conditional intrinsic values of approximately $0.28, $0.46, and $1.88 per share in the Bear, Base, and Bull scenarios. All three remain substantially below the reference price, including the Bull case with stronger growth, margins, and investment efficiency. These estimates support an unfavorable investment assessment at that price, without establishing when the market might recognize the modeled value. For existing holders, these findings also support reassessing position size and considering reduced exposure at the $5.15 reference price.

The composition of Base-case value reinforces this assessment. Operating enterprise value is negative $16.136 million, while common-equivalent equity value is positive $72.989 million after incorporating estimated cash, nonoperating assets, liabilities, financing fees, and separately valued option claims. Positive equity value therefore depends substantially on balance-sheet adjustments. It does not demonstrate a positive standalone value for the modeled operating business or establish a liquidation-value floor.

Satellogic nevertheless has a credible long-term business opportunity. Persistent monitoring, defense and intelligence applications, and sovereign satellite services offer potential sources of demand. Merlin's first launch represents deployment progress, while commercial success requires validated service performance, paying customers, repeat purchases, and adequate margins. My assumption of gradual Merlin revenue contribution from the second half of 2027 remains conditional on those steps. Cash collection and fleet reinvestment determine how much revenue becomes available to investors, while financing terms affect its allocation per share.

The reverse DCF illustrates the scale of improvement needed under the tested conditions. With construction-cohort asset treatment and the specified investment assumptions, the $5.15 reference price requires approximately 97-107% annual Data & Analytics revenue growth during 2029-2031. Those solutions also produce operating margins of approximately 50-55% by 2036 under the retained expense assumptions. They are demanding, unvalidated combinations rather than forecasts or a unique interpretation of market expectations. A different operating path could support a different result, but would require its own evidence and internally consistent investment assumptions.

Planet Labs provides a reference for considering long-term scale. Its approximate equity market capitalization is $6.25 billion using the October 9 reference price and July 31 outstanding Class A and Class B shares underlying Table 8.[88] This quarter-end share-count proxy has not been rolled forward to the cutoff. Reaching comparable equity value would require assessment of Satellogic's revenue scale, margins, reinvestment, financial claims, and future dilution; the comparison itself adds no value to the DCF scenarios.

I would revisit the investment assessment when commercial and financial evidence supports stronger cash generation after reinvestment and financing claims. Until then, the business opportunity warrants continued research, while the valuation results argue against a new investment at the reference price.

[88] Author's calculations, *Satellogic Valuation Model*, 12 Oct. 2026, "Peer inputs"; Planet Labs PBC, *Form 10-Q*, quarter ended 31 July 2026. The 9 Oct. 2026 closing price is multiplied by quarter-end Class A and Class B shares.

9.2 Monitoring Priorities

My first monitoring priority is Merlin's progression from commissioning to reliable paid service delivery. Image quality, detection performance, and coordinated follow-up capabilities should be assessed against customer requirements. These operating milestones would inform whether the gradual revenue contribution assumed from the second half of 2027 remains reasonable. Material delays or additional remediation would warrant revisiting revenue timing and associated expenditure. Technical progress would strengthen the operating case, while changes to financial forecasts would require evidence of its commercial contribution.

The second priority is the durability and financial contribution of customer demand. Major contract renewals, follow-on orders, partner-channel purchases, and sovereign satellite handovers would help assess revenue continuity and capacity utilisation. Contract awards, revenue recognition, and cash collection should be tracked separately, with attention to revenue attributable to Satellogic and the costs of delivery. Repeat purchases accompanied by adequate margins and timely receipts would support greater confidence in the growth assumptions. Customer losses, weaker purchasing, or slower collections would warrant reviewing revenue, costs, and working capital.

The third priority is whether growth can be funded with acceptable investment requirements and financing terms. Retained-fleet expansion and replacement costs, productive asset lives, usable cash, and obligations should be assessed together. Additional financing should be reconciled with the cash received, repayment commitments, share-count changes, and claims already incorporated in the valuation bridge. Higher operating activity would support a stronger investment case when the resulting cash generation can sustain reinvestment and improve value per share.

I would review these assumptions following new financial disclosures or material operating, contractual, and financing events, using Section 8.4 and Table 10. Stronger forecasts would require sustained evidence of customer demand, operating economics, and capital efficiency; execution setbacks or tighter funding capacity would support a lower assessment. Any subsequent reassessment should state its own information cutoff and distinguish new evidence from changes in assumptions.

10. Sources & Appendix

10.1 Sources and Data Cutoff

This report uses an information cutoff of October 12, 2026, at 07:30 ET / 20:30 KST. Information disclosed after that cutoff is excluded from the analysis. The reference price for Satellogic is $5.15, the October 9, 2026 U.S. regular-session closing price. Peer reference prices also use the October 9 regular-session close.

Financial statement inputs retain their reported measurement dates. Quarter-end cash, debt, and share counts used in the peer comparison are proxies and have not been fully reconciled to the report cutoff. Valuation-date cash estimates, operating forecasts, and financing assumptions are identified separately from reported figures. Company targets and guidance are treated as management expectations, while scenario forecasts, sensitivity tests, and monitoring criteria represent the author's assumptions and calculations.

The Treasury yield supplies the model's risk-free-rate reference. Beta, the equity risk premium, financing weights, and other valuation assumptions are author estimates rather than externally sourced market measurements. The convertible-note coupon is used as a debt-cost proxy, with the qualifications described in Section 7.

The accompanying workbook, *Satellogic_Report_Assumptions_20261012.xlsx*, contains operating assumptions and forecasts, the valuation-date cash bridge, DCF calculations, equity-claim adjustments, scenario summaries, sensitivity tests, reverse DCF analysis, and peer inputs. The author's calculations also include growth rates, operating margins, valuation multiples, and the Planet Labs market-capitalization comparison. These outputs are analytical estimates or derived measures, rather than company guidance. Source references and assumption classifications are documented within the relevant worksheets.

The Works Cited list at the end of this report consolidates sources cited in the report and supporting workbook. Financial reporting periods are distinguished from filing or publication dates. Existing footnotes identify the relevant statement sections, notes, pages, and qualifications for individual claims. Dynamic market-data pages are cited for the historical observations used in the report; subsequent prices and updates are excluded. Undated technical and methodological references support general principles, while subsequently updated website content is not treated as a historical operating disclosure.

10.2 Valuation Model Guide and Key Conventions

1. Workbook Structure

The accompanying workbook, *Satellogic_Report_Assumptions_20261012.xlsx*, groups the analysis into inputs, operating forecasts, valuation calculations, report summaries, and supplementary tests. The worksheets serve the following roles:

- **Inputs and Valuation inputs:** Record operating assumptions, discount-rate inputs, valuation dates, cash and debt references, financing assumptions, and share-related claims. Source descriptions distinguish reported figures from author estimates.
- **Forecast:** Develops the Bear, Base, and Bull operating forecasts, including revenue, costs, depreciation, retained-fleet investment, working capital, and free cash flow to the firm.
- **Cash bridge:** Estimates valuation-date cash from reported balances and second-half operating assumptions. It also assesses subsequent cash requirements, minimum reserves, and modeled funding needs.
- **DCF and Equity claims:** Discount forecast cash flows and terminal value, apply the adjustments needed to move from operating enterprise value to equity value, and allocate value among common-equivalent shares and separately modeled financial claims.
- **Table 5, Table 6, and Table 7:** Present key assumptions, scenario valuation results, and Base-case discount-rate and terminal-growth sensitivities. These summaries link to the underlying calculations.
- **Peer inputs and Table 8:** Record peer financial inputs and reference prices, calculate approximate market enterprise values and revenue multiples, and present the peer cross-check. Satellogic's annual revenue outlook links to the existing Base forecast.
- **Research, Operating review, and Reverse DCF:** Document operating evidence and unconfirmed assumptions, support tests of asset treatment and investment efficiency, and record captured reverse DCF solutions. These supplementary analyses should be read alongside the reference scenario results.

Readers can begin with Table 6 and trace each valuation result through DCF, Equity claims, Cash bridge, and Forecast to the relevant inputs.

2. Units and Measurement Dates

Unless otherwise indicated, financial amounts are expressed in USD millions and share quantities in millions of shares. Per-share values are expressed in U.S. dollars; percentages, valuation multiples, and asset lives follow the units stated in the relevant cells. Calculations use unrounded inputs, while displayed figures are rounded for presentation.

The model distinguishes financial measurement dates from the valuation date and information cutoff. Satellogic and BlackSky peer inputs use June 30, 2026 financial statements, while Planet Labs inputs use July 31, 2026 statements. Reference share prices are October 9 regular-session closes. Valuation-date cash is an author estimate derived from reported balances and subsequent operating assumptions. Quarter-end balances and claim counts retain the qualifications described in Section 7.

DCF discount periods are measured from October 12, 2026 using calendar-day intervals divided by 365.25. The remaining 2026 cash-flow estimate and subsequent annual FCFF are assigned December 31 payment dates. These are model timing conventions. Peer annual revenue outlooks retain their respective fiscal-year endpoints and should not be interpreted as forecasts covering identical periods.

3. Valuation Bridge and Claim Treatment

The valuation begins with discounted operating FCFF and terminal value. The equity bridge then adds estimated valuation-date unrestricted cash, the nonoperating investment net of its associated deferred tax liability, and the present value of restricted cash under the assumed release schedule. Other noncurrent accrued liabilities, the straight-debt principal proxy, and applicable equity issuance fees are deducted. Negative operating enterprise values are retained. Restricted cash is valued separately from funds available for operating expenditure.

Equity claims are allocated consistently with the resulting intrinsic value per share. The 157.554 million common-equivalent denominator combines June 30 outstanding common shares with unvested and deferred RSU equivalents, assuming full vesting of the unvested awards. It is a historical claim-count proxy. Warrants, employee options, and the convertible-note conversion option are valued separately; their underlying shares are not added again to that denominator. The convertible principal is deducted as a straight-debt proxy, while its conversion option is assessed separately. The full accounting carrying value of the hybrid instrument is not deducted in addition to those components.

The reference funding assessment assumes that required future equity can be raised at fair intrinsic value prevailing at issuance and deducts the present value of modeled issuance fees. This convention assumes no additional transfer of value through issue pricing. The $0.46 Base estimate is a present-value calculation, not an assumed future issue price. Issuance above or below fair intrinsic value at the financing date could benefit or disadvantage existing holders, respectively.

A separate sensitivity assumes that $19.877 million of gross proceeds is raised on June 30, 2027 at $5.15 per share, with a 4% issuance fee and unchanged Base operating assumptions. This requires approximately 3.860 million new shares. Including the present value of the proceeds and revaluing existing option claims produces a conditional intrinsic value of approximately $0.55 per share, still about 89.3% below the reference price. Section 10.3 provides the issuance arithmetic and valuation calculation. This hypothetical sensitivity does not replace the reference Base case or establish that financing would be available on those terms.

4. Reference Model and Supplementary Tests

Tables 5 and 6 present the established Bear, Base, and Bull assumptions and reference valuation results. Table 7 tests changes in WACC and terminal growth while retaining the other model assumptions. Operating review supports additional tests of asset treatment, useful lives, service growth, and replacement investment. The construction-cohort treatment is a separate sensitivity and does not replace the reference Base case.

Operating controls should be restored to their reference settings after supplementary testing, and the scenario outputs should be checked before use. Reverse DCF records captured solutions under specified combinations of growth and investment assumptions; those solutions do not automatically update when inputs change and must be rerun to reflect revised conditions. The tested combinations illustrate model requirements, without independently validating operational feasibility or identifying a unique set of market expectations. Section 10.3 provides the supporting calculations and their analytical limits.

10.3 Supplementary Calculations and Analytical Limits

1. Asset-Treatment Sensitivity

The reference model depreciates the aggregate opening asset pool over an assumed three-year remaining life after the modeled satellite transfer, while applying a five-year life to new retained-fleet investment. The supplementary test separates a construction-cohort proxy from the legacy pool. In the Base case, this proxy combines $24.876 million of reported June 30 construction-in-progress with $16.000 million of estimated second-half retained-fleet capex, totaling $40.876 million. Construction-in-progress is already included in reported property and equipment and is not added as a separate cash expenditure.[89]

The cohort is assumed to enter service in 2027 and depreciate over five years using a half-year convention. To reproduce the test, set opening-asset treatment to 1 in Operating review, retain the five-year new-asset life, and leave the other Base controls unchanged. The recorded result is approximately $0.35 per share, compared with $0.46 under the reference treatment. The original second-half cash and property-and-equipment bridge is retained.

The lower valuation reflects the combined effects of depreciation timing and subsequent replacement investment. Separating construction assets therefore does not automatically increase value. The allocation between retained and customer-related assets, commissioning schedule, and productive lives remain author assumptions without a disclosed asset-level reconciliation. This sensitivity does not replace the reference Base case.

[89] Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Note 8; author's calculations, *Satellogic Valuation Model*, 12 Oct. 2026, "Forecast" and "Operating review."

2. Reverse DCF Conditions

The reverse DCF solves for the uniform annual Data & Analytics revenue growth rate during 2029-2031 that reproduces the $5.15 reference price at the valuation date. Solutions are calculated separately for the reference aggregate opening-asset pool and the construction-cohort treatment. Both retain a five-year new-asset life and incremental Data & Analytics revenue of 3.0× net expansion capex. WACC remains 14.118%, terminal growth 2.5%, and terminal incremental ROIC 15%.

Using unrounded Base 2028 Data & Analytics revenue:

2031 Data & Analytics revenue = $51.9535 million × (1 + required annual growth rate)³.

Each cell below shows the annual Data & Analytics revenue growth rate required during 2029-2031 to support the $5.15 reference price under the specified asset treatment and replacement-capex ratio.[90]

Replacement capex / depreciation	Reference treatment	Construction-cohort treatment
100%	105.8%	107.0%
80%	100.1%	100.9%
60%	96.2%	96.6%

The construction-cohort solutions produce total 2031 revenue of approximately $429-495 million. To reproduce a solution, select the relevant asset treatment and replacement-capex ratio in Operating review, then use Goal Seek to set Table 6's Base intrinsic value to $5.15 by changing the uniform 2029-2031 service-growth control.

Both treatments retain later Base revenue-growth rates and the original operating-expense growth assumptions. The construction-cohort solutions produce operating margins of approximately 50–55% by 2036. Such margins and replacement savings remain demanding, unvalidated conditions. The model does not independently establish sufficient customer demand, pricing, fleet capacity, staffing, or delivery economics. These are conditional mathematical solutions without assigned probabilities, rather than operating forecasts or unique interpretations of market expectations. Captured results require a new solver run when the underlying assumptions change.

[90] Author's supplementary calculations using the reference model's 12 Oct. 2026 inputs. Growth rates are solved separately for each asset treatment and replacement-capex ratio.

3. Peer Valuation Calculations

Table 8 uses October 9 reference prices and quarter-end financial inputs. Monetary amounts and share quantities are expressed in millions, except per-share prices. The calculations follow these relationships:

- Market capitalization = Reference price × quarter-end outstanding common shares.
- Market EV = Market capitalization + gross debt principal − unrestricted cash, cash equivalents, and short-term investments.
- LTM revenue = Prior fiscal-year revenue + current six-month revenue − prior comparable six-month revenue.
- Revenue multiple = Market EV ÷ the relevant revenue measure.

For Satellogic, approximate market EV is calculated as ($5.15 × 153.707809 million shares) + $18.000 million − $112.809 million = $696.786 million. LTM revenue is $17.707 million + $22.026 million − $7.827 million = $31.906 million. Using unrounded inputs produces approximately 21.8× EV/LTM revenue.

A principal-only conversion illustration shows the effect of changing the claim treatment. Holding the $5.15 reference price, cash, and other Table 8 inputs constant, conversion of $18.000 million of principal at $1.20 would add 15.000 million shares and remove that debt principal. Approximate market EV would become ($5.15 × 168.707809 million shares) − $112.809 million = $756.036 million, equivalent to approximately 23.7× LTM revenue. Conversion provides no new cash. The conversion option is not added again in this illustration, which excludes accrued-interest settlement and other potential dilution.

The $89.730 million convertible-note carrying amount is a June 30 accounting fair value, rather than a valuation-date market quote or the ordinary principal repayment amount. It should not be added alongside the shares arising from the same assumed conversion. Warrants also require assessment of exercise prices, remaining terms, exercise proceeds, and cashless-settlement provisions; adding all underlying shares mechanically would not provide a consistent valuation. This conversion illustration is not a fully diluted EV estimate. Comparable adjustments would be required for the other companies before drawing a revised peer comparison. [91]

Planet's common-share count includes Class A and Class B shares, while BlackSky's gross debt includes satellite launch vendor financing. Restricted cash, operating lease liabilities, and separately valued option claims are excluded. Quarter-end inputs are not fully rolled forward to the cutoff, and these approximate market EV calculations are not fully diluted valuations. Their basis also differs from the intrinsic operating enterprise values in Table 6.

Annual revenue outlook multiples use Satellogic's author-estimated Base revenue and company guidance midpoints for Planet and BlackSky. Planet's outlook ends in January 2027; Satellogic and BlackSky use calendar 2026. Differences in reporting dates, business mix, growth, margins, and investment requirements limit comparability. These multiples provide a market cross-check rather than independently establishing intrinsic value.

[91] Author's calculations using *Satellogic Valuation Model*, 12 Oct. 2026, "Peer inputs" and "Table 8"; Satellogic Inc., *Form 10-Q*, quarter ended 30 June 2026, Notes 12-13 and 15. Underlying sources listed in Works Cited.

4. Planet Labs Scale Comparison

The scale comparison in Section 9.1 uses Planet Labs' October 9 reference price and July 31 outstanding Class A and Class B shares underlying Table 8:

Approximate equity market capitalization = $17.18 × (340.163832 + 23.493796) million shares = $6,247.638 million, or approximately $6.25 billion.[92]

This is an equity market-capitalization estimate based on a quarter-end share-count proxy that has not been rolled forward to the report cutoff. Table 8's approximately $5.84 billion market EV additionally incorporates gross debt principal and subtracts unrestricted cash, cash equivalents, and short-term investments. The two measures serve different purposes.

Planet's estimated equity market capitalization provides a fixed benchmark for considering the scale of Satellogic's long-term growth hypothesis. It does not establish a supported future valuation for Satellogic or justify adding value to the existing DCF scenarios. Comparable operating scale would still require an assessment of business mix, growth, margins, reinvestment, and financial claims. Any per-share interpretation would also depend on the future share count and financing terms. The comparison assigns neither a probability nor a date for Satellogic to reach that scale, and Planet's own market valuation may change.

[92] Planet Labs PBC, *Form 10-Q*, quarter ended 31 July 2026; author's calculations, *Satellogic Valuation Model*, 12 Oct. 2026, "Peer inputs."

5. Equity-Issuance Price Sensitivity

This supplementary sensitivity retains the reference Base operating forecasts and assumes a single equity issuance on June 30, 2027. Net funding of $19.081972 million and a 4% issuance fee require gross proceeds of:

Gross proceeds = $19.081972 million ÷ (1 - 4%) = $19.877054 million.

The following arithmetic uses the reference denominator of 157.554258 million common-equivalent shares. New shares equal gross proceeds divided by the hypothetical issue price. The share-count increase equals new shares divided by the pre-issue denominator; the reduction in existing holders' ownership equals new shares divided by the post-issue denominator.

Hypothetical issue price (USD)	New shares (millions)	Share-count increase	Existing holders' ownership reduction
0.46	43.211	27.43%	21.52%
4.12	4.825	3.06%	2.97%
5.15	3.860	2.45%	2.39%

The $0.46 issue price is included solely as a hypothetical comparison. It is not the reference model's assumed future issue price. These percentages describe common-equivalent share arithmetic and exclude exercise or conversion of separately valued option claims.

For the $5.15 issuance sensitivity, gross proceeds are discounted from June 30, 2027 to October 12, 2026 at 14.118%, following the reference model's discounting convention:

Present value of gross proceeds = $19.877054 million ÷ (1.14118)^0.714579 = $18.087058 million.

The reference Base equity bridge before option claims is $81.972622 million, already including a $0.723482 million deduction for the present value of issuance fees. Adding gross proceeds once gives $100.059680 million before existing option claims. The common-equivalent denominator increases to 161.413880 million shares.

Let s denote the resulting intrinsic value per share and C(s) the aggregate value, in USD millions, of existing warrant, employee-option, and conversion-option claims under the retained option-valuation assumptions. The allocation is solved as:

161.413880 × s + C(s) = 100.059680.

Using unrounded inputs gives s = $0.551473, or approximately $0.55 per share, compared with $0.463261 under the reference funding convention. The resulting value remains approximately 89.3% below the $5.15 reference price.

This is an illustrative extension under specified financing terms. It holds the operating plan and net funding requirement fixed and does not establish actual financing availability or transaction terms. It does not replace the reference Base valuation.

Source: Author's supplementary calculations using the reference model's October 12, 2026 inputs.

6. Analytical Limits

The forecasts do not independently validate Merlin's customer pricing, partner economics, repeat demand, or the fleet capacity required to support projected revenue. Operating margins and investment-efficiency assumptions therefore remain conditional on commercial execution. Deployment targets and contract announcements provide evidence of progress, while sustained revenue and cash generation require successful delivery, adequate margins, and collection.

Asset allocation, commissioning dates, productive lives, and replacement requirements are estimated without a complete asset-level reconciliation. Valuation-date cash is modeled from historical balances, and selected nonoperating asset marks are carried forward as proxies. Share and award counts are not fully reconciled to the cutoff, while vesting and financial-claim valuations depend on the stated assumptions. These limitations can affect both equity value and its allocation per share.

The reference funding assessment assumes access to required equity at fair intrinsic value, with modeled issuance fees. It does not incorporate an additional issuance discount or transfer of value to new investors. Less favorable terms or unavailable financing could reduce shareholder value or require changes to the operating plan.

The scenarios, sensitivities, and reverse DCF provide conditional results under specified assumptions. They do not assign probabilities, establish statistical confidence intervals, or identify a unique set of market expectations. Actual outcomes may fall outside the reported scenario range. The resulting valuations should be assessed together with the unresolved operating, investment, liquidity, and claim-count assumptions described in Sections 7 and 8.

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